

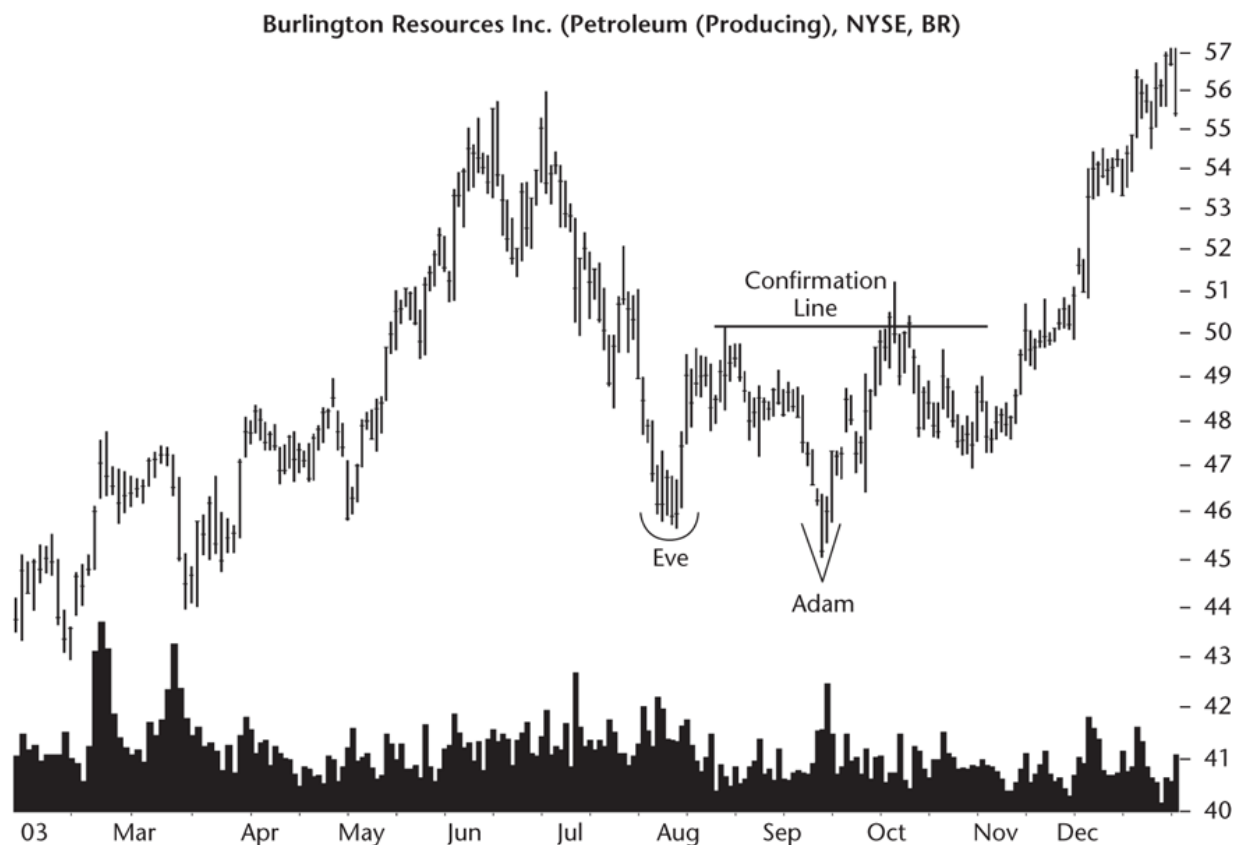


Figure 28.4 An Eve & Adam double bottom with volume higher on the right bottom and tepid breakout volume.

Breakout direction. A breakout happens when price closes above the highest peak between the two bottoms. If price closes below the bottom of the pattern first, it's not a valid double bottom. When price breaks out upward, it confirms the chart pattern as a valid double bottom.

Is the twin bottom shown in [Figure 28.4](#) a valid Eve & Adam double bottom? Running through the characteristics shown in [Table 28.1](#), we find that the pattern appears at the bottom of a downward price trend. The two bottoms look different—the first one is wider than the second and more rounded-looking, too. The second bottom is narrow and V shaped, with a two-day downward price plunge. The difference between the two bottom lows is small (1%). The separation measures 43 days from bottom low to low. No dips appear on either side of the pattern that would turn this into a triple bottom. Volume is heavier on the right bottom than the left, and the breakout volume is below average.